Question 1: Solution

Elements

An engagement is an assurance engagement when it has each of the following elements:

A three-party relationship involving a practitioner, a responsible party and an intended user is required. **(1 mark)** Here, the practitioner is our firm, the responsible party is Jolly and the intended user is the grant-awarding body. **(1 mark)**

Appropriate underlying subject matter is required either at a point in time or covering a period of time. **(1 mark)** In this case, the subject matter is the expenditure incurred by Jolly over the 12 months to 31 December 20X7. **(1 mark)**

Suitable criteria or benchmarks are required to evaluate or measure the subject matter. **(1 mark)** In this case, the expenditure incurred is being evaluated against the terms of the government grant. **(1 mark)**

Sufficient, appropriate evidence is required to be gathered by the practitioner in order to properly evaluate the subject matter against suitable criteria. **(1 mark)** In this case, be expected to:

- Review the nature of the expenditure with reference to the terms of the government grant **(1 mark)**
- Review support for the expenditure, eg invoices **(1 mark)**
- Review the date the expenditure was incurred (ie pre-31 December 20X7) **(1 mark)**

The assurance engagement should have an *assurance report/opinion* **(1 mark)**, that is, a conclusion provides a level of assurance as to whether the subject matter conforms in all material respects with the identifiedsuitable criteria. **(1 mark)**

Recommendation

Here, as the assurance practitioner has to verify each item of expenditure against set criteria, there is sufficient level of assurance given to conclude that this would be classified as an assurance engagement. **(1 mark)**

The most suitable option would be a limited assurance engagement. **(1 mark)** This would involve reporting a negative opinion over the appropriateness of the expenditure recorded on the return. **(1 mark)** This would involve a lower level of assurance, but would result in a lower cost for the engagement in line with the client's expectations. **(1 mark)** Jolly would need to check with the grant-awarding body that a lower level of assurance would meet their requirements.

Question 2: Solution

Question 1

Acceptance risks

Experience and expertise

Osiris operates in a specialist area of the construction industry. **(1 mark)**. There is a risk that we donot have sufficient experience **(1 mark)** and expertise to take on the engagement. **(1 mark)**

Firm's resources

Glen has asked L&T to complete the report quickly so that Osiris can begin to bid for new work as soon as possible. **(1 mark)** There is a risk that we do not have sufficient appropriately qualified staff available to undertake the engagement in the time available **(1 mark)** and that the time allowed is insufficientenough to perform the procedures required. **(1 marks**

Financial risk

Osiris is loss making for the past 2 years **(1 mark)** and is experiencing a reduction in workload. The increased difficulty in winning new contracts may indicate future cashflow difficulties. **(1 mark)** Osiris may be unable to pay our fees **(1 mark)**, which would result in a financial loss to L&T. **(1 mark)**

Reliance on other professionals

We will be reviewing the work of professional specialists such as the Quantity Surveyor (QS). **(1 mark)** We may not have the necessary technical knowledge **(1 mark)** to replicate or review the QS work. **(1 mark)**

Client identification procedures

Most of the directors are not known to L&T and are based across Europe. **(1 mark)** We need to undertake identification procedures to confirm the key shareholders and directors of the business in order to fulfil our obligations under money laundering regulations. **(1 mark)** There is a risk that we are unable toobtain sufficient information given the geographical disbursement of directors and our lack of knowledge of their identities. **(1 mark)**

Reputational risk

Osiris has featured in the local press due to the redundancy of staff. **(1 mark)** There is a potential reputation risk **(1 mark)** that may arise from our association with this company if we are seen as being associated with a failing company making significant numbers of local people redundant. **(1 mark)**

Independence

Glen Bowmont and Elliot Calder are friends who golf together most weekends. **(1 mark)** There is a social relationship between Glen Bowmont and Elliot Calder, a partner in L&T. This raises concerns over the independence of the firm from the client **(1 mark)** and, without appropriate safeguards, we may not beable to accept the client. **(1 mark)**

Question 2

Different types of engagement that L&T could undertake

There are three types of engagement that L&T could potentially provide:Reasonable assurance (**1 mark)**

This is an engagement providing reasonable assurance and a 'positive' opinion. **(1 mark)** This form of report requires us to perform detailed testing to allow us to reach a conclusion and as a result is costly. **(1 mark)**

Limited assurance **(1 mark)**

This type of engagement provides more limited assurance. When the engagement has been concluded, the opinion is expressed in the negative form **(1 mark)**. Because of the nature of the engagement, the testing procedures are less extensive and less reliable than under positive assurance. **(1 mark)**

Agreed-upon procedures **(1 mark)**

Under this approach, the procedures to be performed by the firm are specified in our engagement letter. We would report the factual findings and results to the user, the directors of Osiris. It is the directors' responsibility to interpret these findings to draw their own conclusions and opinion. **(1 mark)** We do not make judgements on the sufficiency or reliability of the procedures; we only carry out the work we have been asked to perform. (**1 mark)**

Recommendation

Glen seems to want considerable comfort before engaging in a contract with a public authority. The fullest assurance we can offer is 'reasonable' assurance. Our quote will have to be relatively high, particularly if the work is to be conducted quickly, but Glen seems to already be aware that this may be the case. **(1 mark)** As such, reasonable assurance would seem best suited to the client's needs. **(1 mark)**